

Why do companies need to issue shares to the public?

Most companies are usually started privately by their promoter(s). However, the promoters' capital and the borrowings from banks and financial Institutions may not be sufficient for setting up or running the business over a long term. So companies invite the public to contribute towards the equity and issue shares to individual investors. The way to invite share capital from the public is through a 'Public Issue'. Simply stated, a public issue is an offer to the public to subscribe to the share capital of a company. Once this is

Done, the company allots shares to the applicants as per the prescribed

rules and regulations laid down by SEBI.

What are the different kinds of issues?

Primarily, issues can be classified as a Public, Rights or Preferential issues(Also known as private placements). While public and rights issues involve a Detailed procedure, private placements or preferential issues are relatively simpler. The classification of issues is illustrated below: